

BUSINESS COMMUNICATION**MBA106****MODULE -1**

Introduction: Meaning & Definition, Role, Classification, Purpose of communication, Communication Process, Characteristics of successful communication, Importance of communication in management, Communication structure in organization, Communication in conflict resolution, Communication in crisis. Communication and negotiation, Communication in a cross-cultural setting, Barriers to communication.

Definition

- **The word “Communication” is derived from “communis” (Latin), meaning “common”.** It stands for a natural activity of all human beings to convey opinions, feelings, information and ideas to others through words (written or spoken), body language, or signs.
- Purposive interchange, resulting in workable understanding and agreement between the sender and receiver of a message.-George Vardman.
- Communication is interchange of thoughts, opinions, or information by speech, writing or signs.
- It is the sum of all the things one person does when he wants to create understanding in the mind of another; it involves a systematic & continuous process of telling, listening, & understanding.

Characterstics/Features/ Nature of communication

1. Universal.
2. Unavoidable.
3. Continuous Process.
4. Two Way Traffic.
5. Needs Proper Understanding.
6. Dispels Misunderstanding.
7. Leads Achievement of organizational objectives.
8. Short lived process.

Purpose/ Objectives of Communication

- To Inform.
- To Persuade.

Others

- Conveying the right message.
- Coordination of effort.
- Good industrial relations.
- Developing of managerial skills.
- Effectiveness of policies.

Need for communication in Management

- To increase employees' **job performance and effectiveness by updating their knowledge.**
- To promote employees' **sense of belonging and commitment.**
- To effect the **changes.**
- To **motivate and create** the sense of identification with the organization's goals.
- **To inform and convince** employees about decisions and the reasons behind those decisions
- **To develop employee's clear understanding** of their roles and future growth opportunities in the organization, and
- **To empower employees** with information on development and activities.

Role of Communication

1. General role of Communication:

- Conducive Environment
- Technological Progress
- Economic Advancement
- Global Village

2. Role of Communication for individual:

- Expression of oneself.
- Satisfaction of human needs.
- Building human relations.
- Career Advancement.

3. Role of Communication in Business

Importance of Communication in Management

Communication is the lifeblood of business.

- Smooth working of a business firm.
- Basis of Managerial function:
- Planning, Organizing, Directing & Leadership, Motivation, Coordination, Control.
- Maximum production at minimum cost.
- Prompt decisions & its implementation.
- Building H R.
- Job satisfaction & good morale.
- Avoid illusion.
- Contacts with external parties.

Types of Communication

1. On the basis of Organizational Structure

- Formal
- Informal

2. On the basis of Direction

- Vertical (Down, Upward)
- Horizontal
- Diagonal

3. On the basis of Way of expression

- Oral
- Written
- Gesture

Some other types of On the basis of Communication

- ▶ **Intrapersonal communication (soliloquies):** Its talking to one's own mind.
- ▶ **Interpersonal communication (a conversation):** it is the exchange of message between two persons.
- ▶ **Group communication (class room):** it can be among small or large groups like an organization.
- ▶ **Mass communication (television) :** it occurs when the message is sent to large groups of people.

- ▶ **Verbal communication(speaking):** it means communicating with words, written or spoken.
- ▶ **Non-verbal communication(pictures) (body language) :** facial expressions for exchanging information between two persons.
- ▶ **Meta communication(some thing more than what the actual words state):** I have never seen you so smartly.

Process of Communication

▶ The Linear Concept

according to the linear view, a receiver passively receives the message and acts as directed by the sender.

▶ Shannon-Weaver Model

C E Shannon and W Weaver were the first to point out that actual practice, messages can be changed or blocked.

▶ Two-Way Communication Process

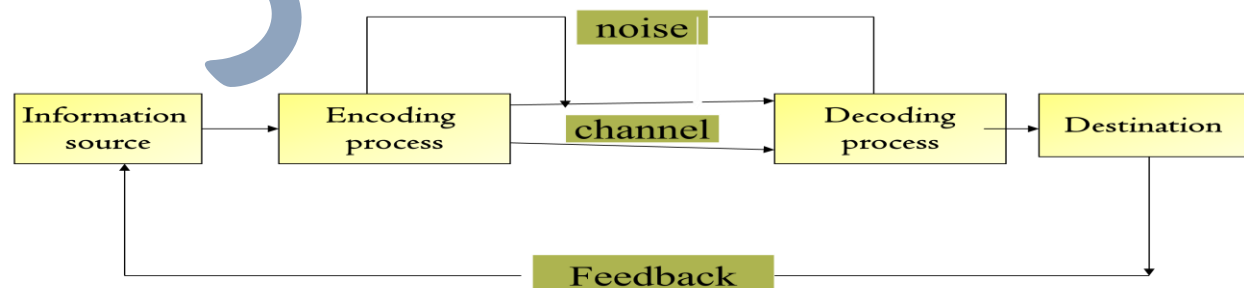
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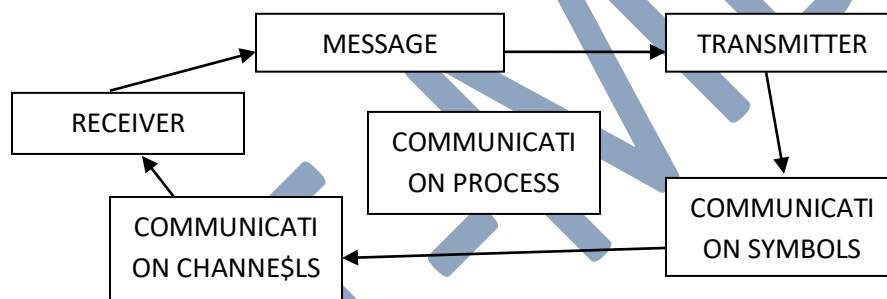
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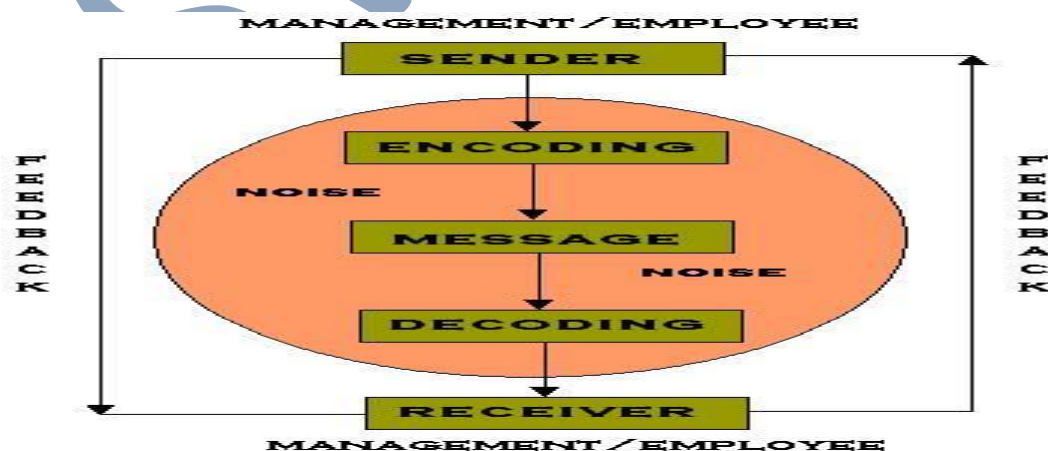
- ▶ **Information source:** the sender has some raw information. His intention changes that **information into a message** to be communicated.
- ▶ **Encoding:** having thought over the message, the **sender puts it into words**.
- ▶ **Channel:** an appropriate **medium**.
- ▶ **Decoding:** the receiver **understands and interprets** the message that he has received.
- ▶ **Acting:** the receiver puts the interpreted the **message into action**.
- ▶ **Noise:hindrance**, preventing transmission of the message
- ▶ **Filters:** misunderstanding and **different problems**.

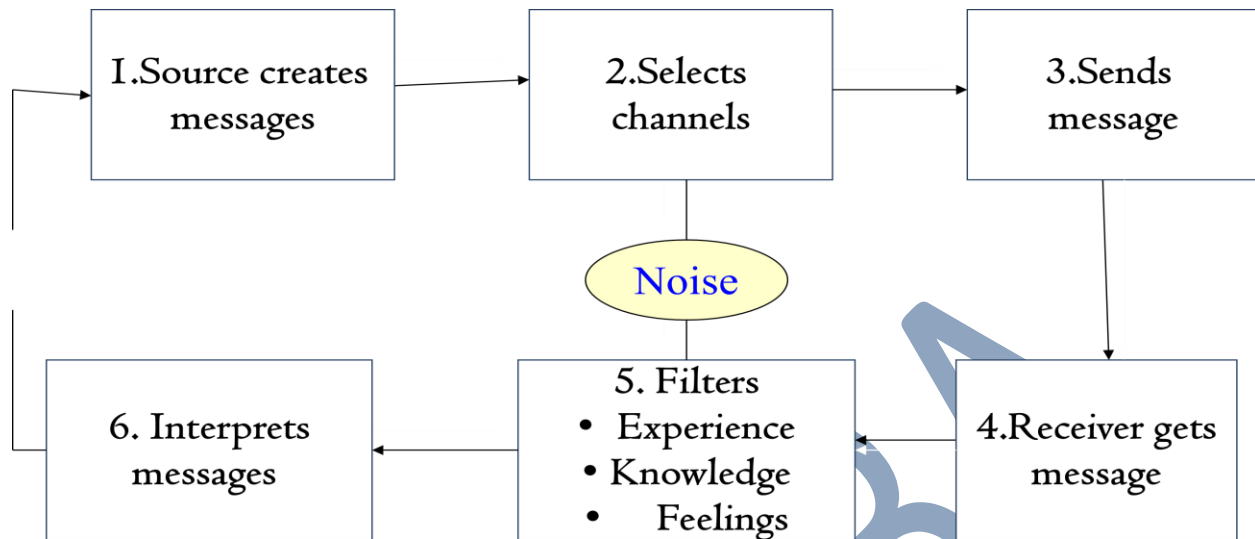
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Process



How Communication takes place**Common Problems in Two-Way Communication**

- No perceived benefit to the audience
- Noise outside disturbance
- Variations in listening skills
- Cultural differences
- Personal biases
- Complexity of subject matter/message
- Time restraints
- Responding to difficult questions

Characteristics/ Principles of Successful Communication

Francis J Bergin Advocates 7C's are the **Characteristics/ Principles of Successful Communication.**

1. **Candidness:** Honest, Sincere.
2. **Clarity:** Talk clearly & effectively.
3. **Completeness:** Whatever is necessary.
4. **Conciseness:** Very simple words/ single words.
5. **Concreteness:** Very Specific, definite in describing, avoid vague words.
6. **Correctness:** Avoid Grammatical mistakes.
7. **Courtesy:** Do not use words that are insulting or hurting to the listener.

Communication structure in an Organization

In business organizations, the effectiveness of a communication system depends upon **the extent to which the necessary information reaches the concerned person** at the right time.

This network of information supports the overall functioning of mgmt by integrating & coordinating the work force for achieving organizational objectives.

Communication flows in two ways:

1. Vertical Communication
2. Horizontal Communication: Geographical, Functional.

Communication Structure in Organization



Formal Communication

1. Line relationship:

Sets down the path of communication, from boss to subordinate and vice versa.

2. Functional relationship:

It occurs when departments work and related organizational matters to each other.

3. Staff relationship:

communication relating to fall within staff relationship.

Informal Communication

Informal communication in an organization usually flows through

1. **Chat:** Managers of the same level enjoy the same level of authority. Informal communication is usually in the form of a chat.
2. **The Grapevine:** The creation of a grapevine may create complications for the information system of organizations. The gap in the formal communication is filled up by the informal gossip circulated among employees. The management views the grapevine negatively. It under cuts the designs of confidentiality and secrecy.

Barriers in Business Communication

- Semantic Barriers
- Emotional & Psychological Barriers
- Physical Barriers
- Organizational Barriers
- Personal Barriers
- Socio Psychological Barriers
- Cultural Barriers

Semantic Barriers

The obstructions that come in the process of encoding & decoding the message are called as Semantic Barriers.

Types of Semantic Barriers are:

1. Different Languages
2. Words
3. Pictures
4. Actions
5. Poor Vocabulary

Emotional & Psychological Barriers

These arises from motives, attitudes, judgments, sentiments, emotions, & social values of participants.

Types Emotional & Psychological Barriers are:

1. Loss in transmission & retentions.
2. Distrust of communicator
3. Failure to communicate
4. Undue reliance on the written words
5. Inattention of the Receiver

Physical Barriers

- Noise
- Improper Time
- Distance

Organizational Barriers

Related to functioning of the organization.

Types of Organizational Barriers are:

1. Organizational policy
2. Organizational rules & regulations
3. Status relationships in the Organization
4. Structure of the Organization
5. Lack of Organizational facilities
6. Wrong choice of channel

Personal Barriers

Its an basically interpersonal process, many personal factors inherent in the sender & receiver influence the flow of communication.

Types of Personal Barriers are:

1. Barriers of superiors:
 - Attitude of superiors
 - Fear of challenge to authority
 - Underestimation of their subordinates
 - Ignoring the juniors

- Insistence on following the proper channel

2. Barriers regarding subordinates:

- Unwilling to communicate
- Lack of proper incentives

3. Poor Listening:

- Egotism
- Emotions
- Selective perceptions

Cultural & Socio Psychological Barriers:

- Attitude & opinions
- Closed minds
- Status Consciousness

Communication in conflict Resolution

- Direct Opposition, A Clash Or Disagreement Between people.
- Conflicts are experienced at home, work, social recreation and officiating a contest.
- As long as you have people dealing with people, making decisions or meeting deadlines - you will have conflict.
- Conflict can range from daily irritations to full grown battles. Whatever the level of conflict, the **earlier** we take steps to resolve the situation, the better the outcomes are likely to be.
- We need to recognize that conflict is inevitable, and learn not to dread it, or see it as a failure on our part or that of anyone else. Conflict can be dealt with **logically**, **calmly** and **effectively** by using certain skills and reacting in a **controlled**, **deliberate** manner.

KEY COMPONENTS IN RESOLVING CONFLICT

- GREAT LISTENING SKILLS
- FLEXIBILITY
- WILLINGNESS TO CHANGE
- AGREE TO DISAGREE

Conflict Resolution Strategies

- | | |
|---------------|----------|
| • AVOID | Wait/See |
| • FORCE | Win/Lose |
| • ACCOMMODATE | Lose/Win |
| • COMPROMISE | Lose/Win |
| • COLLABORATE | Win/Win |

Communication in crisis

- a crisis is an unexpected and detrimental situation or event. Crisis communication can play a significant role by transforming the unexpected into the anticipated and responding accordingly.
- Any situation that is threatening or could threaten to harm people or property, seriously interrupt business, damage reputation or negatively impact share value.
- **Crisis communication** is sometimes considered a sub-specialty of the public relations profession that is designed to protect and defend an individual, company, or organization facing a public challenge to its reputation. These challenges may come in the form of an investigation from a government agency, a criminal allegation, a media inquiry, a shareholders lawsuit, a violation of environmental regulations, or any of a number of other scenarios involving the legal, ethical, or financial standing of the entity.

Effective crisis communication strategies

- Maintain connectivity
- Be readily accessible to the news media
- Show empathy for the people involved
- Allow distributed access
- Streamline communication processes
- Maintain information security
- Ensure uninterrupted audit trails
- Deliver high volume communications
- Support multi-channel communications
- Remove dependencies on paper based processes

How to Communicate in a Crisis

- How to Communicate in a Crisis: What's The Plan?
- How to Communicate in a Crisis: What Are My Messages?

- How to Communicate in a Crisis: Who is My Audience?
- How to Communicate in a Crisis: Dealing with the Media
- How to Communicate in a Crisis: Final Thoughts

Communication & Negotiation

Negotiation is nothing but a discussion among individuals to reach to an alternative which would satisfy all.

How is an effective discussion possible ? Only through communication.

An effective communication is directly proportional to an effective negotiation.

- The better the communication is the better the negotiation would be. Discussion does not mean fighting and shouting, instead it is simply the exchange of one's ideas, thoughts and opinions with each other.
- One needs to have excellent communication skills for a healthy and an effective discussion.
- Communication is an art and one should master it to excel in all kinds of negotiation.
- Effective communication is important in salary negotiations as well.
- An effective communication is of prime importance in business deals also.
- Non verbal communication also plays an important role in an effective negotiation.
- Negotiation in Verbal way
- Negotiation in Nonverbal way

Communication in cross cultural settings

Cross-cultural communication (also frequently referred to as intercultural communication, which is also used in a different sense, though) is a field of study that looks at how people from differing cultural backgrounds communicate, in similar and different ways among themselves, and how they endeavor to communicate across cultures.

The key to effective **cross-cultural communication** is knowledge. First, it is essential that people understand the potential problems of cross-cultural communication, and make a conscious effort to overcome these problems. Second, it is important to assume that one's efforts will not always be successful, and adjust one's behavior appropriately.

FACTORS AFFECTING CROSS-CULTURAL BUSINESS COMMUNICATION

The communication process in international business settings is filtered through a range of variables, each of which can color perceptions on the part of both parties.

These include:

1. language,
2. environment,
3. technology,
4. social organization,
5. social history
6. conceptions of authority,
7. Nonverbal communication behavior.
